



MADE SIMPLE & SMART

The new tax slabs will put more money into the taxpayers' pockets. We tell you how much richer you have become.

Populist", "For the next general election not next generation", "Poll Vault"... aren't you sick and tired of these headlines by now? Yes, Budget 2008 might have been designed to garner votes, but does that make it a bad one for you? The only question that really should occupy investors and taxpayers is: has the Budget made me richer? And this year, the short answer to that is, "Yes". The finance minister has en-

sured that your post-tax income rises by up to 8 per cent depending on your income level and category. Of course, the macroeconomic and political repercussions are all very interesting, but they make little actual difference to your wallet. Under the new tax exemption limits, every assessee gets a tax relief of at least Rs 4,000. And the rejigging of the slabs means that those who plan their tax saving investments save more in taxes. But what exactly do you save and how

can you plan your investments to save the maximum possible from the taxman? We decided to cut through the clutter that invariably surrounds the Budget. All that you'll read will be simple and utilitarian. We show you how much you can save in taxes, no matter what your income is. That is what we attempt to explain you in a series of tables which we have created in association with Ernst & Young. These tables will illustrate how best you can save taxes.

The New Tax Slabs

MALES		FEMALES		SENIOR CITIZENS	
Up to Rs 1.5 lakh	Nil	Up to Rs 1.8 lakh	Nil	Up to Rs 2.25 lakh	Nil
Rs 1.5 - 3 lakh	10%	Rs 1.8 - 3 lakh	10%	Rs 2.25 - 3 lakh	10%
Rs 3 - 5 lakh	20%	Rs 3 - 5 lakh	20%	Rs 3 - 5 lakh	20%
Above Rs 5 lakh	30%	Above Rs 5 lakh	30%	Above Rs 5 lakh	30%

There is also a 3% education cess on the tax payable and a 10% surcharge on the total tax if the income exceeds Rs 10 lakh a year